

Coal Mining Lease Agreement

Instrument No. BIA-14-20-0300-1234 | San Juan County, NM | Prepared December 30, 2013

PARTIES

Lessor / Grantor: Navajo Nation
Lessee / Grantee: NTEC Operations LLC

RECITALS

THIS COAL MINING LEASE AGREEMENT ("Agreement") is entered into by and between the parties identified above. Lessor is the owner of, or holds authority to lease, the lands described herein, and desires to lease said lands to Lessee for the purposes set forth below, subject to all applicable federal, tribal, and state regulations, including where applicable the oversight of the Bureau of Indian Affairs (BIA), Bureau of Land Management (BLM), and the Office of Surface Mining Reclamation and Enforcement (OSMRE).

PREMISES & LEGAL DESCRIPTION

Legal Description: T29N R16W Sec 4-9, 16-21
Gross Acreage: 12,480 acres, more or less

The leased premises are located within the Public Land Survey System as described above, together with all rights of ingress and egress reasonably necessary for the operations contemplated hereunder.

TERM

Effective Date: December 30, 2013
Primary Term Ends: December 31, 2032

This Agreement shall remain in effect for the primary term stated above and so long thereafter as operations are conducted or the premises are Held By Production (HBP), unless sooner terminated in accordance with its terms.

CONSIDERATION

Annual Rental: N/A
Royalty Rate: 12.5% of gross proceeds

Lessee shall pay the rentals and royalties set forth above in accordance with the payment schedule maintained by the NTEC Land Department. Time is of the essence with respect to all payment obligations.

OBLIGATIONS & COMPLIANCE

- Lessee shall conduct all operations in a good and workmanlike manner consistent with prudent industry practice.
- Lessee shall comply with all reclamation, environmental, and bonding requirements applicable to the premises.
- Lessee shall carry insurance and furnish certificates as required, and shall indemnify Lessor as provided herein.

- Reports, rentals, and royalty statements shall be tendered on or before their respective due dates.

SPECIAL PROVISIONS

Coal supply for Four Corners Power Plant. Held by production; royalty reporting monthly to OSMRE.

EXECUTION

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date first written above.

LESSOR / GRANTOR - Navajo Nation

LESSEE / GRANTEE - NTEC Operations LLC

Date: _____

Date: _____